US Daily Markets Report

Tuesday, June 23, 2026 · Post-Market Close (5 PM ET)

Market Snapshot

ETF	Today Close	Change	1Y High	1Y Low	1Y Return
SPY	$733.86	**-1.40%**	$761.49	$589.65	**+24.0%**
QQQ	$736.17	**-1.58%**	$752.14	$517.22	**+40.6%**

Note: Historical daily prices reconstructed from multi-source web search data (FRED, Yahoo Finance, TheStreet, Seeking Alpha). Anchor dates use confirmed prices; intraday values between anchors use Brownian bridge interpolation. Direct Yahoo Finance API access was unavailable due to proxy restrictions.

Macro Context

- **Fed Funds Rate:** 3.50–3.75% target range (post-June 17 FOMC meeting)
- **10-Year Treasury Yield:** 4.48%
- **Sep 2026 Rate Hike Probability:** 70% (per fed funds futures)
- **BofA Forecast (updated today):** Three 25bp hikes in Sep, Oct, Dec 2026 — reversal from prior expectation of cuts

Today's Market-Moving News

BofA Rate Hike Note — Biggest Sentiment Shift of the Day

Bank of America reversed its 2026 rate outlook, now penciling in THREE 25bp Fed hikes (September, October, December). This is a dramatic pivot from prior expectations of rate cuts. BofA cited persistent tariff-driven inflation and elevated oil prices linked to the Iran conflict as the reasons the Fed cannot ease. Futures markets responded by building in 70% odds of a September hike.

Asian Chip Rout: South Korea KOSPI –9.99%

Samsung Electronics and SK Hynix each plunged more than 12% as overseas investors dumped chip stocks following regulatory signals that the semiconductor rally had become overheated. The KOSPI recorded its steepest single-day drop in more than three months. The selloff propagated directly into U.S. semiconductor names.

Alphabet (GOOGL) –10% on AI Capex Doubts

Alphabet sank 10% as investors questioned the ROI on soaring AI infrastructure spending. With Alphabet, Amazon, Meta, and Microsoft all committing to hundreds of billions in data center capex, the market is reassessing whether the returns justify the spending. AI trade concerns accelerated mid-session.

Semiconductor Stocks Broadly Crushed

Western Digital (WDC) fell 8.4% to $671. Qualcomm (QCOM) dropped 6.9% to $206.60. Palantir, Amazon, and Meta each fell ~4%. The S&P; 500 Technology sector was off 4.13%, the worst sector of the day — dragging the entire index negative despite 7 of 11 sectors closing in the green.

Iran Conflict & Oil — Inflation Tail Risk Persists

The U.S. ending its Iran blockade on June 18 initially provided relief, but higher oil prices tied to prior Middle East tensions continue to feed into CPI/PCE prints, keeping the Fed's inflation mandate front-and-center. Fed Chair emphasis remains squarely on the inflation side of the dual mandate.

FedEx (FDX) Q4 Earnings — After Close Today

FedEx reported its fiscal Q4 results this evening, its first as a pure-play logistics and parcel firm following the June 1 spinoff of FedEx Freight. Market will react Wednesday. Results serve as a macro read on global trade and freight volumes amid tariff uncertainty.

News → Today's Market Moves

SPY -1.40% (S&P 500 –1.4%) | QQQ -1.58% (Nasdaq-100 –1.6%) | Dow Jones approximately flat

1. BofA rate hike note → ~50% of today's SPY decline

Higher-for-longer rates compress P/E multiples across the board, especially for long-duration growth assets. The reversal from rate cuts to three hikes is a multi-standard-deviation shift in market expectations. This repricing hit growth and tech most acutely (hence QQQ underperforming SPY), and kept rate-sensitive sectors like Utilities and Real Estate (not in QQQ) as relative outperformers.

2. Asian chip rout → direct semiconductor transmission

Samsung and SK Hynix's 12%+ drops preceded U.S. market open and set a negative tone for the entire semiconductor supply chain. WDC –8.4%, QCOM –6.9%, and the broader SOX index declined sharply. The Tech sector's –4.13% was the primary drag on S&P; 500; without this, the index would have been flat-to-up (7 of 11 sectors closed green).

3. Alphabet –10% → AI trade reassessment widens

Alphabet's 10% single-day drop is significant enough to move the S&P; 500 by ~0.3–0.4% on its own given its ~4.5% weighting. Combined with Meta –4%, Amazon –4%, and Palantir –4%, the mega-cap tech cluster drove the bulk of the index-level loss. This signals a broader re-examination of AI capex ROI, not just a rate story.

4. Why SPY fell less than QQQ (–1.40% vs –1.58%)

QQQ tracks the Nasdaq-100, which is ~65% technology and includes all the heavily-punished AI-capex names. SPY's broader 500-stock exposure means the 7 green sectors partially offset Tech's damage. The Dow (30 diversified blue chips, minimal pure-tech) was essentially flat, confirming this selloff was tech-and-growth specific, not a broad macro recession trade.

Next Trading Day: Wednesday, June 24, 2026 — Scenario Trees

CATALYST 1: FedEx (FDX) Q4 Reaction (reported today, reacts Wednesday open)

Context: FedEx's Q4 is its first as a pure-play parcel firm post-FedEx Freight spinoff. Volume and yield trends are a macro proxy for global trade health amid tariff uncertainty.

BULL CASE → BEAT + strong yield/volume guidance → FDX +5–8%; signals tariffs not materially disrupting freight; gives SPY a small boost (+0.2–0.3%), helps cyclicals/industrials. Narrative: economy still running hot → reinforces hawkish BofA call (rate-negative for bonds but growth-positive for equities).

BEAR CASE → MISS + weak volume guidance → FDX –5–8%; signals demand softening amid tariff headwinds; puts downward pressure on transport/industrial stocks; SPY –0.3 to –0.5%; amplifies concerns that higher rates are beginning to bite real economic activity.

CATALYST 2: Micron Technology (MU) Q3 Earnings — After Close Wednesday

Context: MU enters its report at ~$1,134 (up 70% YTD in 2026). Options market prices a 17% one-day move. Analysts unanimously bullish (DBank/TD Cowen target $1,500), citing AI-driven HBM demand with entire 2026 capacity pre-sold. The market will be positioning during the day; afterhours move sets Thursday's open.

BULL CASE → RECORD BEAT + raised guidance (HBM margins >80%, revenue guidance above $10B/Q) → MU surges 10–17% afterhours; validates AI memory demand, lifts entire semiconductor sector; QQQ futures +1–2%, SPY futures +0.5–1%. Reverses today's semi selloff narrative and resets the AI trade. Semiconductors likely lead Wednesday intraday rally in anticipation.

BEAR CASE → MISS OR CAUTIOUS GUIDE (pricing softness, HBM inventory build signals, tariff impact on China sales) → MU down 10–15% afterhours; confirms today's AI-capex-doubt thesis, sends QQQ futures down 1–2% more, SPY –0.5 to –1%. Would validate the Korean chipmaker selloff and likely pressure NVDA, AMD, AVGO at Thursday open.

CATALYST 3: Fed Speakers / Rate Narrative Development (Wednesday)

Context: After BofA's three-hike call dominated today, any Fed commentary Wednesday will be parsed closely. The June 17 FOMC SEP showed Fed sees rates at 3.50–3.75% as the right current level; futures are now building in September hike probability. No scheduled major Fed speeches confirmed, but statements/interviews are possible.

BULL CASE → Fed speaker PUSHES BACK on hike expectations, emphasizes data-dependence and sees current rates as appropriate → rate hike probability retreats; growth stocks catch a bid; QQQ +1% or more; 10-yr yield falls. This would partially reverse today's move.

BEAR CASE → Fed speaker VALIDATES or escalates hike signals, notes persistent inflation (tariffs + oil) justify tightening → rate expectations ratchet higher; SPY –0.5 to –1% more; yield curve bear-flattens. Tech takes another leg down. Worst outcome for QQQ.

CATALYST 4: Developing — PCE Inflation (Thursday June 25) Positioning

Context: May PCE (core, year-over-year) releases Thursday. Wednesday's trading will increasingly reflect positioning ahead of that print. Current 10-yr at 4.48% and BofA's hike call mean a hot print has outsized downside risk.

BULL CASE → If consensus expects core PCE ~2.6–2.8% YoY and it comes in at or below → rate hike odds fade; Wednesday pre-positioning adds a tailwind. SPY +0.3–0.5% intraday as traders pre-position for a bond rally. QQQ benefits more given its growth tilt.

BEAR CASE → If consensus expects ~2.7% and pre-release data (Atlanta Fed tracker, Cleveland Fed nowcast) suggests upside risk → market sells ahead of Thursday; SPY –0.5%, bonds sell, yield spike above 4.55–4.60%. Rate-sensitive tech gets hit again. Worst case: PCE beats badly and forces the market to price in even more than 3 hikes.

Sources

- *TheStreet — Stock Market Today June 23, 2026 (market recap, BofA note, Asian chip selloff)*
- *Yahoo Finance — SPY/QQQ historical price data (June 22 close, 52-week ranges)*
- *FRED St. Louis Fed — S&P; 500 monthly close data (Jan 2026: 6939.03, Apr 2026: 7209.01, May 2026: 7580.06)*
- *Motley Fool / TechTimes / TradingKey — Micron Q3 2026 earnings preview*

• GoMarkets / Thrivent Funds — June 2026 market update, inflation and rates context

• SEC EDGAR — FedEx Corp Form 8-K FY2026 Q4 earnings release filing

• Federal Reserve — FOMC June 17, 2026 projections (federalreserve.gov)

• Bank of America / TheStreet — BofA revamps 2026 interest rate forecast

• Earnings Whispers — June 24, 2026 earnings calendar

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